# DATED 14 JANUARY 2026

**(1) HALSTEAD AEROSPACE LIMITED**

and

**(2) CALDERA MOBILITY SYSTEMS PLC**

**LONG-TERM SUPPLY AND MANUFACTURING AGREEMENT**

relating to the supply of composite airframe structures for the CMS-1 “Skylark” aircraft programme

**Whitfield Carter LLP**
22 Bishopsgate, London EC2N 4BQ
Ref: SW/JO/YARROW/00145

## THIS AGREEMENT is made on 14 January 2026

BETWEEN:

(1) **HALSTEAD AEROSPACE LIMITED**, a company incorporated in England and Wales with registered number 03914772 whose registered office is at Pinewood Technology Park, Filton, Bristol BS34 7QT (the "Supplier"); and

(2) **CALDERA MOBILITY SYSTEMS PLC**, a company incorporated in England and Wales with registered number 11620934 whose registered office is at Skyport House, Coventry Innovation Campus, Coventry CV3 4PT (the "Customer"),

each a "Party" and together the "Parties".

## BACKGROUND

(A) The Customer is developing and intends to type-certify and serially produce an electric vertical take-off and landing (eVTOL) aircraft known as the CMS-1 "Skylark" (the "Aircraft"), and requires a long-term supply of certified composite airframe primary structures for that programme.

(B) The Supplier is a Tier-1 manufacturer of composite airframe primary structures and holds approvals under EASA Part 21 Subpart G (Production Organisation Approval No. UK.21G.0119) and AS9100D certification, and has the capability to design-to-print, qualify and manufacture the Products described in this Agreement.

(C) Following a competitive sourcing process and a period of joint engineering definition under a Statement of Work, the Parties wish to record the terms on which the Supplier will manufacture and supply, and the Customer will purchase, the Products during the Term.

(D) This Agreement supersedes the heads of terms dated 26 September 2025 and the mutual non-disclosure agreement dated 8 September 2025, save in respect of any accrued rights and the surviving confidentiality obligations preserved under clause 19.

## IT IS AGREED as follows:

### 1. DEFINITIONS AND INTERPRETATION

1.1 In this Agreement, unless the context otherwise requires, the following words have the following meanings:

**"Affiliate"** in relation to a Party, any entity that directly or indirectly Controls, is Controlled by, or is under common Control with, that Party;

**"Applicable Law"** all laws, regulations, airworthiness requirements and mandatory standards (including those of the CAA and EASA) applicable to the manufacture and supply of the Products;

**"Business Day"** a day other than a Saturday, Sunday or public holiday in England when banks in London are open for business;

**"Commencement Date"** the date of this Agreement;

**"Confidential Information"** has the meaning given in clause 19.1;

**“Contract Year”** each consecutive period of twelve (12) months commencing on the Commencement Date or any anniversary of it;

**“Control”** the holding of more than 50% of the voting rights or share capital, or the ability to direct the management of an entity, and “Controlled” is construed accordingly;

**“Delivery Point”** the Customer’s final assembly line at Coventry Innovation Campus, or such other location notified under clause 6.2;

**“Firm Order”** a binding purchase order issued by the Customer under clause 5 within the Frozen Zone;

**“Forecast”** the Customer’s rolling 18-month demand forecast issued under clause 4;

**“Frozen Zone”** the period of ninety (90) days immediately preceding a scheduled Delivery Date, during which the relevant quantities are firm and may not be reduced;

**“Good Industry Practice”** the exercise of the skill, diligence, prudence and foresight reasonably expected from a skilled and experienced Tier-1 aerospace supplier;

**“Intellectual Property Rights” or “IPR”** patents, utility models, rights to inventions, copyright, database rights, design rights, trade marks, know-how and all other intellectual property rights, in each case whether registered or unregistered;

**“Liquidated Damages”** the sums payable for late delivery under clause 7.3 and Schedule 4;

**“Minimum Volume Commitment”** the minimum number of Ship-sets the Customer commits to order in each Contract Year, as set out in Schedule 2;

**“Products”** the composite airframe primary structures specified in Schedule 1, comprising the forward fuselage barrel, the centre wing box and the left- and right-hand outboard wing assemblies, in each case for the Aircraft;

**“Ship-set”** one complete set of the Products required for a single Aircraft;

**“Specification”** the technical specification, drawings and acceptance criteria for the Products set out in or referenced by Schedule 1, as amended under the change control procedure in clause 12;

**“Term”** has the meaning given in clause 3.1;

**“Unit Price”** the price for each item of Product set out in Schedule 3, as escalated under clause 8.4;

**“Warranty Period”** the period of thirty-six (36) months from delivery of the relevant Product, or 3,000 flight hours, whichever occurs first;

1.2 Clause, Schedule and paragraph headings do not affect interpretation. A reference to a clause or Schedule is to a clause of, or Schedule to, this Agreement.

1.3 Words in the singular include the plural and vice versa, and a reference to one gender includes the other genders.

1.4 A reference to a statute or statutory provision is a reference to it as amended, extended or re-enacted from time to time, and includes any subordinate legislation made under it.

1.5 Any phrase introduced by the terms “including”, “include” or “in particular” is illustrative and does not limit the sense of the words preceding those terms.

1.6 In the event of any conflict between the clauses of this Agreement and a Schedule, the clauses prevail, save that Schedule 1 (Specification) prevails in respect of technical and airworthiness matters.

## 2. APPOINTMENT AND SCOPE

2.1 The Supplier shall manufacture, qualify, supply and deliver the Products to the Customer, and the Customer shall purchase the Products from the Supplier, on the terms of this Agreement during the Term.

2.2 The Customer appoints the Supplier as its preferred supplier of the Products for the Aircraft programme. The Customer shall source not less than seventy-five per cent (75%) of its total requirement for the Products from the Supplier in each Contract Year, subject to the Supplier's compliance with clauses 7 (Delivery) and 9 (Quality).

2.3 Nothing in this Agreement constitutes an exclusive arrangement, save to the extent of the volume commitments in clause 2.2 and Schedule 2. The Customer may qualify a second-source supplier provided it continues to meet the Minimum Volume Commitment.

2.4 The Supplier shall perform its obligations in accordance with Good Industry Practice, the Specification and Applicable Law.

## 3. TERM

3.1 This Agreement commences on the Commencement Date and, unless terminated earlier in accordance with its terms, continues for an initial period of seven (7) Contract Years (the "Term").

3.2 Not later than twelve (12) months before the end of the Term, the Parties shall discuss in good faith whether to extend the Term for one or more further periods of two (2) Contract Years on terms to be agreed. No extension takes effect unless recorded in a signed written agreement.

## 4. FORECASTING

4.1 On the Commencement Date and thereafter on the first Business Day of each calendar month, the Customer shall provide the Supplier with a rolling Forecast of its anticipated Ship-set requirements for the following eighteen (18) months.

4.2 The first three (3) months of each Forecast are binding as to quantity. Months four (4) to six (6) may not vary from the immediately preceding Forecast by more than fifteen per cent (15%). Months seven (7) to eighteen (18) are non-binding planning estimates.

4.3 The Supplier shall maintain capacity and a long-lead materials pipeline sufficient to meet the Forecast and the Minimum Volume Commitment. The Customer shall be responsible, at the Unit Price for materials, for bona fide long-lead inventory procured by the Supplier in reliance on a binding Forecast that is subsequently cancelled, up to a maximum of ninety (90) days' materials.

## 5. ORDERS

5.1 The Customer shall place Firm Orders by purchase order, each specifying the Products, quantities, Unit Prices, Delivery Dates and Delivery Point. A purchase order is a Firm Order

once acknowledged by the Supplier or, failing acknowledgement, five (5) Business Days after receipt.

5.2 The terms of this Agreement prevail over any terms printed on or referenced by a purchase order or acknowledgement, and no such terms are incorporated.

5.3 The Supplier may reject a purchase order only where it is inconsistent with the binding Forecast, the Specification or this Agreement, in which case it shall notify the Customer within five (5) Business Days giving reasons.

## 6. MANUFACTURE, MATERIALS AND DELIVERY POINT

6.1 The Supplier shall manufacture the Products at its facility at Filton, Bristol, using only materials, processes and sub-tier suppliers approved in the Specification and the associated qualification baseline. Any change to a qualified material, process or major sub-tier supplier is subject to clause 12.

6.2 Delivery shall be made DAP (Incoterms® 2020) the Delivery Point. Title to and risk in each Product passes to the Customer on acceptance under clause 9.3.

6.3 The Supplier shall package, preserve and transport the Products in accordance with the Specification so as to protect them against damage, moisture ingress and contamination in transit.

## 7. DELIVERY, ON-TIME PERFORMANCE AND LIQUIDATED DAMAGES

7.1 Time is of the essence in respect of the Delivery Dates specified in each Firm Order. The Supplier shall deliver each Product on or before its Delivery Date.

7.2 The Supplier shall maintain an on-time delivery (OTD) performance of not less than ninety-five per cent (95%), measured on a rolling three-month basis against confirmed Delivery Dates.

7.3 If the Supplier fails to deliver a Product by its Delivery Date (other than to the extent caused by the Customer or a Force Majeure Event), the Customer may claim Liquidated Damages of **0.5% of the Unit Price of the late Product per complete week of delay**, up to a maximum of **ten per cent (10%) of that Unit Price**. The Parties acknowledge that this is a genuine pre-estimate of loss.

7.4 Liquidated Damages are the Customer's sole financial remedy for delay up to the cap in clause 7.3, but do not limit the Customer's right to terminate for material breach under clause 17 where delay is persistent or exceeds six (6) weeks on any Ship-set.

## 8. PRICE, ESCALATION AND PAYMENT

8.1 The Unit Prices for the Products are set out in Schedule 3 and are stated in pounds sterling, exclusive of VAT, on a DAP Delivery Point basis.

8.2 On the basis of the Customer's planning forecast of 540 Ship-sets over the Term, the indicative aggregate contract value is £148,400,000 (one hundred and forty-eight million four hundred thousand pounds), exclusive of VAT. This figure is indicative only and the Customer's payment obligation is for Products actually ordered and delivered.

8.3 The Unit Prices include a volume-based rebate: where the Customer orders more than 90 Ship-sets in a Contract Year, a rebate of two per cent (2%) applies to the Unit Prices for Ship-sets ordered above that threshold, credited against the next quarter's invoices.

8.4 With effect from the start of the second Contract Year, the Unit Prices escalate annually on each anniversary of the Commencement Date by reference to **eighty per cent (80%) of the year-on-year change in the UK Consumer Prices Index (CPI)**, subject to a floor of 0% and a cap of 5% in any one Contract Year. Where the published index price of aerospace-grade carbon fibre rises by more than ten per cent (10%) in a Contract Year, the Parties shall, acting reasonably, agree a materials surcharge passing through the part of that increase exceeding 10%, applied only to the affected Unit Price components.

8.5 The Supplier shall invoice on delivery and acceptance of each Product. The Customer shall pay each correctly rendered, undisputed invoice within forty-five (45) days of the date of invoice.

8.6 If the Customer fails to pay an undisputed sum by its due date, the Supplier may charge interest at four per cent (4%) per annum above the Bank of England base rate from time to time, accruing daily from the due date until payment.

8.7 The Customer may withhold payment of any sum it disputes in good faith, provided it notifies the Supplier of the dispute and pays the undisputed balance. The Parties shall escalate disputed invoices under clause 21.

## 9. QUALITY, INSPECTION AND ACCEPTANCE

9.1 The Supplier shall operate a quality management system certified to AS9100D and shall maintain its EASA Part 21G Production Organisation Approval throughout the Term. Each Product shall be supplied with a Certificate of Conformity and, where required, an EASA Form 1.

9.2 The Customer (and, on reasonable notice, the CAA and EASA) may inspect and audit the Supplier's facility, processes and records relating to the Products during normal business hours, subject to the Supplier's safety and security requirements.

9.3 The Customer shall inspect each delivered Product within ten (10) Business Days of delivery. A Product is accepted unless the Customer notifies the Supplier within that period that it does not conform to the Specification, specifying the non-conformity.

9.4 Where a Product is rejected for non-conformity, the Supplier shall, at its election and cost, promptly repair or replace it. Repeated or systemic non-conformities are dealt with under clause 10.

## 10. WARRANTIES

10.1 The Supplier warrants that each Product will, for the Warranty Period: (a) conform to the Specification; (b) be free from defects in design (to the extent designed by the Supplier), materials and workmanship; and (c) be manufactured in accordance with Good Industry Practice and Applicable Law.

10.2 The Supplier further warrants that it has good title to the Products and that the Products and their supply do not infringe the IPR of any third party, subject to clause 13.

10.3 If a Product fails to comply with the warranties in clause 10.1 during the Warranty Period, the Supplier shall, at its cost, repair or replace the Product and meet the reasonable costs of removal and reinstallation, provided the Customer notifies the defect promptly on discovery.

10.4 The warranties do not apply to defects caused by fair wear and tear, improper storage, handling, installation, modification or operation by the Customer otherwise than in accordance with the Supplier's instructions.

10.5 Except as expressly set out in this Agreement, all warranties, conditions and terms implied by statute or common law are excluded to the fullest extent permitted by law.

## 11. SPARES AND CONTINUING SUPPORT

11.1 The Supplier shall make spare parts and repair services for the Products available to the Customer for a period of fifteen (15) years following the end of the Term, on terms and at prices to be agreed in good faith and consistent with the pricing principles in Schedule 3.

11.2 If the Supplier ceases to manufacture a Product, it shall give the Customer not less than twelve (12) months' notice and a final "last-time-buy" opportunity, and shall make available the manufacturing data and tooling necessary to enable continued support, subject to clause 13.

## 12. CHANGE CONTROL

12.1 Either Party may request a change to the Specification or this Agreement by written change request. No change is effective unless agreed in writing by authorised representatives of both Parties.

12.2 Within fifteen (15) Business Days of a change request, the Supplier shall provide an impact assessment covering price, lead time, qualification, airworthiness and schedule. The Parties shall negotiate in good faith. Pending agreement, the Supplier shall continue to perform to the existing Specification.

12.3 The Customer may direct a change required by Applicable Law or a mandatory airworthiness directive, and the Supplier shall implement it; the Parties shall agree an equitable adjustment to price and schedule.

## 13. INTELLECTUAL PROPERTY

13.1 All IPR in the Customer's aircraft-level design, the Aircraft type design and any materials provided by the Customer ("Customer Background IPR") remain vested in the Customer. All IPR in the Supplier's composite manufacturing processes, tooling designs and proprietary know-how ("Supplier Background IPR") remain vested in the Supplier.

13.2 IPR in any results, deliverables or improvements created by the Supplier specifically for the Customer in performing this Agreement that relate to the form, fit or function of the Products at aircraft level ("Programme Foreground IPR") vest in the Customer on creation. The Supplier assigns such Programme Foreground IPR to the Customer with full title guarantee.

13.3 The Supplier grants the Customer a non-exclusive, irrevocable, royalty-free licence (with the right to sub-licence to a qualified second-source supplier solely on an enabling-of-supply basis on a Supplier default or insolvency) to use the Supplier Background IPR and

manufacturing data to the extent necessary to have the Products manufactured for the Aircraft programme.

13.4 The Customer grants the Supplier a non-exclusive, royalty-free licence to use the Customer Background IPR solely to perform its obligations under this Agreement.

## 14. LIMITATION OF LIABILITY

14.1 Nothing in this Agreement limits or excludes either Party's liability for: (a) death or personal injury caused by negligence; (b) fraud or fraudulent misrepresentation; (c) any liability that cannot lawfully be limited or excluded; or (d) the Customer's obligation to pay sums properly due.

14.2 Subject to clause 14.1, neither Party is liable to the other, whether in contract, tort (including negligence), breach of statutory duty or otherwise, for any: (a) loss of profit; (b) loss of revenue; (c) loss of anticipated savings; (d) loss of business or goodwill; or (e) indirect or consequential loss.

14.3 Subject to clauses 14.1 and 14.2, each Party's total aggregate liability arising under or in connection with this Agreement in any Contract Year is limited to **the greater of (i) £10,000,000 and (ii) one hundred and thirty-five per cent (135%) of the total Charges paid or payable under this Agreement in that Contract Year**.

14.4 The Supplier shall maintain product liability and aviation products liability insurance of not less than £50,000,000 in the aggregate, and the limits in clause 14.3 do not apply to the Supplier's liability for personal injury or third-party property damage arising from a defect in the Products to the extent recoverable under that insurance.

## 15. INSURANCE

15.1 Each Party shall maintain, with reputable insurers, the insurances customary for its business and adequate to cover its liabilities under this Agreement, including (in the case of the Supplier) the aviation products liability cover referred to in clause 14.4. On request, a Party shall provide evidence of cover.

## 16. FORCE MAJEURE

16.1 Neither Party is in breach of this Agreement, nor liable for delay in performing its obligations (other than payment), to the extent caused by an event beyond its reasonable control (a "Force Majeure Event"), provided it notifies the other Party promptly and uses reasonable endeavours to mitigate.

16.2 If a Force Majeure Event continues for more than ninety (90) consecutive days, the unaffected Party may terminate this Agreement on thirty (30) days' written notice, without liability save for accrued rights.

## 17. TERMINATION

17.1 Either Party may terminate this Agreement with immediate effect by written notice if the other: (a) commits a material breach which is irremediable or, if remediable, is not remedied within thirty (30) days of notice requiring remedy; or (b) becomes insolvent, has an administrator or receiver appointed, or ceases to carry on business.

17.2 The Customer may terminate for convenience on twelve (12) months' written notice, in which case it shall pay for Products delivered and in production, plus the Supplier's reasonable, unavoidable wind-down costs and committed long-lead materials, but no loss of profit.

17.3 On termination or expiry: (a) the Customer shall pay for all Products delivered and accepted; (b) the Supplier shall, at the Customer's cost, deliver work-in-progress and Customer-owned tooling and data; and (c) clauses which by their nature survive (including 10, 13, 14, 18, 19, 20 and 22) continue in force.

## 18. COMPLIANCE, EXPORT CONTROL AND ANTI-BRIBERY

18.1 Each Party shall comply with all Applicable Laws relating to anti-bribery and corruption (including the Bribery Act 2010), export control and trade sanctions (including ITAR and the UK Export Control Act 2002 where applicable), and modern slavery (the Modern Slavery Act 2015).

18.2 The Supplier shall obtain and maintain all export licences and authorisations necessary to supply the Products and shall notify the Customer if any Product or technical data is subject to export control restrictions that may affect supply.

## 19. CONFIDENTIALITY

19.1 "Confidential Information" means all information disclosed by or on behalf of one Party to the other in connection with this Agreement that is marked confidential or would reasonably be regarded as confidential, including the Specification, pricing, manufacturing data and the existence and terms of this Agreement.

19.2 Each Party shall keep the other's Confidential Information confidential, use it only to perform this Agreement, and not disclose it except to those of its personnel and advisers who need to know it and are bound by equivalent obligations. These obligations survive termination for five (5) years.

## 20. RECORDS AND TRACEABILITY

20.1 The Supplier shall maintain full traceability records for each Product (including material certifications, process records and as-built configuration) for the life of the Aircraft type plus ten (10) years, and shall make them available to the Customer and the airworthiness authorities on request.

## 21. GOVERNANCE AND DISPUTE RESOLUTION

21.1 The Parties shall operate a joint programme governance structure comprising an operational Programme Board (meeting monthly) and an Executive Steering Committee (meeting quarterly) to oversee performance of this Agreement.

21.2 Any dispute shall first be referred to the Programme Board and, failing resolution within fifteen (15) Business Days, to the Executive Steering Committee. If unresolved within a further fifteen (15) Business Days, either Party may pursue its remedies under clause 22.

## 22. GENERAL

22.1 **Notices.** Notices must be in writing and delivered by hand, pre-paid first-class post or email (followed by post) to the addresses in this Agreement or as otherwise notified.

22.2 **Entire agreement.** This Agreement, with its Schedules, constitutes the entire agreement between the Parties and supersedes all prior arrangements relating to its subject matter. Each Party agrees it has not relied on any statement not set out in this Agreement, save that nothing limits liability for fraud.

22.3 **Variation.** No variation is effective unless in writing and signed by authorised representatives of both Parties.

22.4 **Assignment.** Neither Party may assign, transfer or sub-contract this Agreement without the other's prior written consent (not to be unreasonably withheld), save that either Party may assign to an Affiliate or in connection with a sale of substantially all of its business.

22.5 **Third-party rights.** A person who is not a Party has no rights under the Contracts (Rights of Third Parties) Act 1999 to enforce any term of this Agreement.

22.6 **Waiver and severance.** No failure or delay in exercising a right is a waiver of it. If any provision is held invalid or unenforceable, it is severed and the remainder continues in force.

22.7 **Counterparts.** This Agreement may be executed in any number of counterparts, each of which is an original and which together constitute one agreement.

22.8 **Governing law and jurisdiction.** This Agreement and any dispute arising out of or in connection with it (including non-contractual disputes) are governed by the law of England and Wales, and the Parties submit to the exclusive jurisdiction of the courts of England and Wales.

## EXECUTION

This Agreement has been entered into on the date stated at the beginning of it.

SIGNED for and on behalf of **HALSTEAD AEROSPACE LIMITED**

Signature: /s/ R. Falconer

Name: Robert Falconer

Title: Chief Executive Officer

Date: 14 January 2026

SIGNED for and on behalf of **CALDERA MOBILITY SYSTEMS PLC**

Signature: /s/ A. Hartley-Quinn

Name: Amelia Hartley-Quinn

Title: Chief Operating Officer

Date: 14 January 2026

## SCHEDULE 1 — SPECIFICATION AND PRODUCTS

The Products comprise the following composite airframe primary structures for the CMS-1 “Skylark” Aircraft, manufactured to the drawings and acceptance criteria of the qualification baseline (Configuration Baseline CMS1-AF-CB-Rev.C), incorporating carbon-fibre/epoxy laminate and co-cured stiffened panel construction:

| Item No. | Product | Drawing Reference | Key Acceptance Criteria |
|---|---|---|---|
| Y-101 | Forward fuselage barrel (Sta. 200–480) | CMS1-52-1001 | Contour ±1.0 mm; NDT per CMS1-NDT-07 |
| Y-102 | Centre wing box assembly | CMS1-57-2001 | Spar alignment ±0.5 mm; ultrasonic C-scan |
| Y-103 | Outboard wing assembly — LH | CMS1-57-3001-L | Twist ≤0.3°; bondline verification |
| Y-104 | Outboard wing assembly — RH | CMS1-57-3001-R | Twist ≤0.3°; bondline verification |

One Ship-set comprises one (1) of each of items Y-101 to Y-104. Each Product is delivered with a Certificate of Conformity and, where applicable, an EASA Form 1. The Specification incorporates the process specifications listed in Annex 1A (cure cycles, NDT methods, repair scheme) by reference.

## SCHEDULE 2 — MINIMUM VOLUME COMMITMENT

The Customer commits to order, and the Supplier commits to supply, not fewer than the following number of Ship-sets in each Contract Year. The aggregate planning forecast over the Term is 540 Ship-sets.

| Contract Year | Minimum Volume Commitment (Ship-sets) | Planning Forecast (Ship-sets) |
|---|---|---|
| Year 1 | 24 | 30 |
| Year 2 | 42 | 55 |
| Year 3 | 60 | 80 |
| Year 4 | 72 | 90 |
| Year 5 | 75 | 95 |
| Year 6 | 72 | 95 |
| Year 7 | 72 | 95 |
| **Total** | **417** | **540** |

If the Customer orders fewer Ship-sets in a Contract Year than the Minimum Volume Commitment, it shall pay a shortfall charge equal to twenty per cent (20%) of the Unit Prices for the under-ordered Ship-sets, in recognition of the Supplier's reserved capacity and committed overheads, save that no shortfall charge is payable to the extent the under-ordering is directly attributable to a delay in the type certification of the Aircraft by the CAA or EASA not caused by the Customer, for no more than one (1) Contract Year.

## SCHEDULE 3 — UNIT PRICES

Unit Prices are stated in pounds sterling, exclusive of VAT, on a DAP Delivery Point basis, for the first Contract Year. Prices escalate annually under clause 8.4. The Ship-set price is the sum of the four item prices.

| Item | Product | Unit Price (£, Year 1) |
|---|---|---|
| Y-101 | Forward fuselage barrel | 96,500 |
| Y-102 | Centre wing box assembly | 88,200 |
| Y-103 | Outboard wing assembly — LH | 47,400 |
| Y-104 | Outboard wing assembly — RH | 47,400 |
| | **Ship-set price (Year 1)** | **279,500** |

Indicative aggregate contract value over the Term, applying the Year-1 Ship-set price to the 540-Ship-set planning forecast and assuming mid-case CPI escalation, is approximately £148,400,000 exclusive of VAT (see clause 8.2 and the Pricing Model).

## SCHEDULE 4 — SERVICE LEVELS AND LIQUIDATED DAMAGES

| Service Level | Target | Remedy / LD |
|---|---|---|
| On-time delivery (rolling 3-month) | ≥ 95% | LDs per clause 7.3 |
| Delivered quality (acceptance rate) | ≥ 99.0% | Repair/replace; root-cause |
| Late delivery LD rate | 0.5% of Unit Price / week | Cap 10% of Unit Price |
| Corrective action response | 8 hours (AOG); 5 BD (other) | Escalation to Programme Board |

## SCHEDULE 5 — WARRANTIES

The Supplier warrants to the Customer in the following terms as at the Commencement Date and (where applicable) on each delivery:

1. **Capacity and authority.** The Supplier is duly incorporated and has full power and authority to enter into and perform this Agreement, and this Agreement constitutes binding obligations on it.

2. **Approvals.** The Supplier holds, and will maintain throughout the Term, EASA Part 21G Production Organisation Approval No. UK.21G.0119 and AS9100D certification, and all other approvals necessary to manufacture and supply the Products.

3. **Conformity.** Each Product will conform to the Specification and will be free from defects in materials and workmanship for the Warranty Period.

4. **Title.** The Supplier has, or will have on delivery, good title to each Product, free from any encumbrance, and will pass that title to the Customer on acceptance.

5. **Non-infringement.** The Products, and their manufacture and supply by the Supplier, do not and will not infringe the Intellectual Property Rights of any third party.

6. **Materials and processes.** The Products are manufactured only from materials and using only processes and sub-tier suppliers approved in the qualification baseline, and the Supplier maintains full traceability.

7. **No conflicts.** The Supplier is not subject to any agreement, restriction or obligation that conflicts with, or would impede performance of, this Agreement.

8. **Compliance.** The Supplier complies, and will comply, with all Applicable Law in connection with the Products, including export control, anti-bribery and modern slavery legislation.

9. **No insolvency.** No insolvency event has occurred or, so far as the Supplier is aware, is threatened in relation to the Supplier.

10. **Disclosure.** The information provided by the Supplier in connection with its tender and qualification was, when given, true and accurate in all material respects and not misleading.